UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION

Interconnection of Large Loads to the Interstate Transmission System	))	Docket No. RM26-4-000

REPLY COMMENTS OF THE EDISON ELECTRIC INSTITUTE

The Edison Electric Institute ("EEI") respectfully submits reply comments to the initial comments filed in response to the Notice Inviting Comments and Advanced Notice of Proposed Rulemaking issued by the Federal Energy Regulatory Commission ("FERC" or "Commission") on October 27, 2025.[1]

I. INTRODUCTION

EEI members share the Administration's goal of enabling speed-to-power for large load customers. We urge the Commission to move deliberately forward in a manner that protects other customers, ensures grid reliability, and acknowledges the distinct role of the states.[2] The Commission can achieve swift and durable action[3] by targeting areas where it can act decisively; avoiding the unnecessary cost and delay that would flow from disrupting existing progress; and minimizing the risk of adverse consequences to reliability and affordability. The Commission

---

[1] Notice Inviting Comments, Interconnection of Large Loads to the Interstate Transmission Sys., Docket No. RM26-4-000 (filed Oct. 27, 2025) (the "Notice Inviting Comments" on the "ANOPR" filed therewith).

[2] Comments of Edison Electric Inst. at 2, 5, 15 ("EEI"). All citations to comments are to initial comments filed in Docket No. RM26-4-000 between the dates of November 4, 2025 and November 28, 2025.

[3] *Cf*. Ethan Howland, *New FERC Commissioners Say Connecting Data Centers Is Key Priority*, Utility Dive (Nov. 21, 2025), https://www.utilitydive.com/news/ferc-data-centers-swett-lacerte-lng/806145/ (noting that Charmain Laura Swett believes that interconnection of large load requires "bold" action, but must also evidence "legal durability").

should also seek to limit the regulatory friction that results from inconsistencies between state and federal regulations, which could slow development.

The strongest path forward is through adherence to principles of cooperative federalism.[4] That is how the FPA, "a paragon of cooperative federalism[,]"[5] was designed to work.[6] A wide array of commenters observed that EEI member companies, states, and large load customers have worked together diligently to develop frameworks and processes to accelerate speed-to-power for large load customers.[7] These comments evidence that speed-to-power and cooperative federalism

---

[4] Initial Comments of the Env't Law & Pol'y Ctr., at 3 ("ELPC") ("We encourage the Commission to follow a 'cooperative federalism' model that addresses problems within those spheres of jurisdiction without deterring state action."); Initial Comments of Nat'l Ass'n of Regul. Util. Comm'rs, at 6 ("NARUC") ("Working together, under the concept of cooperative federalism, will lead to optimal solutions."); Initial Comments of La. & Miss. Pub. Serv. Comm'n, at 5 ("LPSC/MPSC") (noting that the Commission "should refrain from exercising that jurisdiction in locations where it is not needed under principles of cooperative federalism"); Initial Comments N.M. Pub. Regul. Comm'n, at 5 (NM PRC) ("FERC should approach this rulemaking through a model of cooperative federalism." (citation modified)); Initial Comments of Org. of MISO States, at 3 ("OMS") ("[A]dhering to principles of cooperative federalism will be key to successfully achieving the national goals set for the electric industry."); Comments of Vistra Corp., at 19 ("Vistra") ("[T]he Commission has a long history of tailoring the application of its jurisdiction in a way that facilitates cooperative federalism"); Initial Comment of Org. of PJM States, Inc., at 7-8 ("OPSI") ("[R]egulating the pace and service levels of retail loads that by necessity are interconnecting through a local load-serving utility, a durable solution may very well warrant joint state-federal regulation of this important issue as allowed by the FPA's cooperative mechanisms."); Initial Comments of R Street Inst., at 6 ("R Street Institute") ("Cooperative federalism harmonizes state and federal policies and avoids working at cross-purposes" and "it is vital that FERC and state PUCs work in conjunction to meet this moment of unprecedented uncertainty." (citation modified)).

[5] *Coal. for Competitive Elec. v. Zibelman*, 272 F. Supp. 3d 554, 567 (S.D.N.Y. 2017), *aff'd*, 906 F.3d 41 (2d Cir. 2018).

[6] *Hughes v. Talen Energy Mktg., LLC*, 578 U.S. 150, 167 (2016) (Sotomayor, J., concurring) (noting that the FPA establishes a "complementary administrative framework" and "envisions a federal-state relationship marked by interdependence").

[7] *See* Comments of Wash. Utilities & Transp. Comm'n, at 1 (filed Nov. 24, 2025) ("Washington UTC") (ANOPR policies may conflict with the ongoing work of Washington's Data Center Working Group established by Governor Ferguson's Executive Order 25-05); Comments of Indiana Energy Ass'n, at 2 (filed Nov. 24, 2025) ("IEA") (noting that Indiana has demonstrated that it is 'proactively and effectively addressing large load customer issues, through legislation, unique tariffs, and expedited regulatory proceedings"); Initial Comments of the Cal. Pub. Utils. Comm'n, at 2 ("California PUC") (noting that CPUC and other states are "already working on state-jurisdictional tariffs and standardized rules for large load energization"); Comments of Pub. Staff – N.C. Utils. Comm'n, at 5-6 ("North

are complementary imperatives that, together, will enable the timely and efficient interconnection of large loads to the nation's electric grid.

II. COMMENTERS SHARE WIDE SUPPORT FOR TAILORED COMMISSION ACTION, HARMONIZED WITH EXISTING AND ONGOING EFFORTS

An overwhelming majority of commenters, representing a diverse array of perspectives, agree that the Commission should avoid disrupting processes already in place that are supported by the utilities, have been approved by state regulatory authorities, and underlie large load customers' investment decisions.[8] Many commenters observed that the Commission can advance its mission of a reliable and affordable grid by focusing on ways to ensure transmission investments related to large load interconnection are being made efficiently, including through

---

Carolina UC Staff") (claiming that North Carolina UC has "proactively addressed the challenges, including conducting a technical conference on fairly and efficiently serving large load customers"); Initial Comments of the Wisconsin Elec. Power Co. et al. at 4-6 ("WEC") (discussing Very Large Customer and Bespoke Resources Tariffs, "which together address large loads in Wisconsin Electric's service territory"); Comments of Pub. Util. Comm'n of Ohio's Fed. Energy Advocate, at 2-3 ("Ohio FEA") ("PUCO has already begun working with regulated utilities in Ohio to create an orderly and expedited process by which new data center loads can request interconnection studies and an electric service agreement.").

[8] *See, e.g.,* Initial Comments of Amazon Energy LLC, at 3 ("Amazon") (Large load developers have expended significant time and resources developing new large load projects and made substantial investments in reliance on existing interconnection rules and procedures," reforms that threaten that reliance could "cause substantial delay, or even force withdrawals, thereby undermining the goals that the ANOPR seeks to advance." (citation modified)); Comments of Data Center Coalition, at 4 ("DCC") ("Reforms intended to improve timeliness and predictability should not inadvertently disrupt projects that have already made significant financial, contractual, and engineering commitments"); Comments of Eolian, L.P., at 23 ("Eolian") ("Any load interconnection customer that has commenced a state jurisdictional process consistent with such a rule should then have the option to continue to be processed pursuant to that process even after acceptance of the applicable compliance filing, in order to limit disruption to the orderly processing of large load interconnections."); Comments of Am. Pub. Power Ass'n, at 4 ("APPA") (noting that the Commission should not undermine the "efforts of retail regulators" to provide through retail tariffs the "clarity to data center developers" which have "help[ed] create positive environment for investment"); Comments of Consumer Protection by Off. of the Ohio Consumers' Counsel, at 4 ("Ohio CC") ("FERC's rule must not undercut or preempt state efforts to manage large load growth through retail tariffs and rate design."); Comments of the Large Pub. Power Council, at 6 ("LPPC") (noting that the Commission must ensure "it does not disrupt efforts now being undertaken by state authorities to deal with the urgency of serving this new load while protecting existing customers").

forward-looking approaches to transmission planning.[9] And there is broad consensus that transmission planning around large load customers and hybrid facilities will be most appropriately tailored when it reflects the expected use of those facilities (*i.e.*, taking into account curtailability).[10]

Any reforms the Commission adopts will ultimately require a collaborative engagement with states and state regulators to address reliability and resource adequacy, and to preserve state-level structures for protecting consumers.[11] EEI shares the view expressed by many commenters that the Commission can accelerate the benefits of any reforms, and thereby advance the common goal of speed-to-power, by preserving state level processes to the greatest extent possible through a tailored application of its authority.[12]

Finally, EEI notes that many commenters considered the 20 MW threshold suggested by the ANOPR to be too low.[13] Many agreed with EEI that using a threshold of 20 MWs would

---

[9] *See*, *e.g.*, Comments of Google LLC, at 4, 14 ("Google"); Comments of Am. Elec. Power Corp., at 15-16 ("AEP").

[10] *See, e.g.,* WEC at 13-14 (urging that "co-located arrangements" should be "studied based on their actual use of the transmission system"); Comments of Advanced Energy United, at 20 ("AEU") ("All loads—hybrid or otherwise—should be studied according to, and pay for, their actual impact on the grid, including consideration of the potential for the associated generation to go offline or otherwise become unavailable."); Comments of Alliant Energy Corporate Servs., at 6 ("AECS") ("Any study process the Commission implements should accurately account for the operational realities of combined load and generation at a single point of interconnection, ensuring reliability and cost-effectiveness for all customers.").

[11] *See e.g.,* Initial Comments of MISO Transmission Owners, at 30 ("MISO TOs"); LPPC at 15.

[12] The Commission has previously recognized that a restrained approach is an important feature of enabling necessary reforms. *See New York v. FERC*, 535 U.S. 1, 25-26 (2002) (noting that the Commission "refus[ed] to extend its open access remedy to bundled retail transmissions" because it created "difficult jurisdictional issues" that in the Commission's view "did not need to be resolved in the present context").

[13] *See* AEU at 11; Comments of the Am. Clean Power Ass'n, at 3 ("ACPA"); Comments of Clean Energy Buyers Ass'n, at 5 ("CEBA"); Initial Comments of Consumers Energy, at 9 ("Consumers Energy"); Comments of Duke Energy, at 15-16 ("Duke"); Comments of Entergy Operating Cos., at 21 ("Entergy"); Initial Comments of Int'l Energy Credit Ass'n, at 10 (IECA); Joint Comments of Indus.

capture a wide array of industrial and commercial customers who are adequately served by existing procedures.[14] And, commenters agreed that a 20 MW threshold would fail to ensure that reforms are focused on the high-impact data center customers that provided the impetus for the ANOPR.[15] Further, many commenters joined EEI in asserting that any nominal threshold should be subject to adjustment to reflect regional and local concerns.[16]

III. REGULATORS SHOULD ENSURE THAT LARGE LOAD CUSTOMERS ARE APPROPRIATELY ALLOCATED COSTS AND OTHER RETAIL CUSTOMERS ARE PROTECTED FROM ADVERSE OUTCOMES

A. Rolled-In Pricing for Network Upgrades Is the Best Approach to Ensuring Pricing Outcomes that Benefit All

Any cost allocation policy adopted in this proceeding should do two things: (1) ensure large load customers pay for the costs that they impose on the transmission system, and (2) protect everyday Americans from adverse impacts and costs from interconnecting new large loads. Though some commenters argue that the best way to achieve this result is for the Commission to

---

Customer Organizations, at 26-27 ("Industrial Customers"); Comments of ITC Holdings Corp., at 3-4 ("ITC"); LPSC/MPSC at 8; Comments of the Md. Energy Admin., at 2-3 ("MEA"); Comments of META Platforms, Inc., at 4 ("META"); MISO TOs at 20-21; Comments of Nebraska Power Review Board, at 3 ("Nebraska PRB"); New York Transmission Owners' Comments, at 12-14 ("NYTOs"); OPSI at 10, Comments of Southwest Power Pool, Inc. at 7-9 ("SPP"); OMS at 12-13; Comments of Indicated PJM TOs, at 4 ("PJM TOs"); Initial Comments of PPL Cos., at 15-16 ("PPL"); Comments of the PSEG Cos., at 25-26 ("PSEG"); Initial Comments of Va. State Corp. Comm'n, at 8 ("Virginia SCC"); WEC at 16.

[14] *See* Industrial Customers at 16; Comments of Steel Manufacturers Ass'n, at 2 ("SMA"); LPPC at 12.

[15] *See* IECA at 10; Initial Comments of PJM Interconnection, L.C.C., at 4-6 ("PJM"); NYTOs at 13-24; Entergy at 22-23; Duke at 15; AECS at 4-5; ACPA at 3-4; OMS at 12-13; WEC at 16; Industrial Customers at 26-27.

[16] *See, e.g.,* Comments of the National Rural Electric Cooperative Association at 15-16 ("NREC") ("[T]he Commission should allow regional flexibility to establish a higher MW threshold, as well as different limits for different load characteristics and different transmission system configurations and conditions."); MISO TOs at 21-22.

directly assign the costs of network upgrades to large load customers,[17] that approach—which may have surface-level appeal—*will not achieve long-term protections for other customers*, because it treats large loads as if they are special users of only a portion of an integrated system.

If the Commission in a final rule asserts jurisdiction over large load interconnections, it must make clear that large loads should not receive special carved-out treatment (namely, by only paying directly assigned costs for network upgrades), but rather they should be responsible for paying their fair share of the relevant transmission system, including both network upgrades they caused and the existing system they benefit from, *like all other users.* This approach to cost allocation supports Energy Secretary Wright's statement that "building new electricity infrastructure is essential" because "the faster we build data centers and we reshore manufacturing in the U.S., that's actually going to be a force and will ultimately drive down average electricity prices."[18] The Commission should also endorse a range of customer-protection mechanisms to ensure large loads assume risks they create and are not a cost burden to other customers. There are many ways beyond direct assignment that can offer protection to other customers while also ensuring that large loads pay their fair share of system costs. For example, security requirements

[17] *E.g.,* Comments of Buckeye Power, Inc., at 18-19 ("Buckeye"); Comments of Pub. Util. Comm'n of Ohio's Fed. Energy Advocate, at 5 ("Ohio FEA); Comments of Transmission Access Policy Study Grp., at 23-27 ("TAPS"); Comments of ISO New England Inc., at 10-11 ("ISO-NE"); PIOs at 32-33; APPA at 6-7; Comments of Govs. J. Shapiro & Glenn Youngkin, at 1 (Govs. Shapiro and Youngkin); Comments of Elec. Customer Alliance, at 22 ("ECA"); IECA at 7-8; Comments of Vantage Data Center, at 10-11 ("Vantage"); OPSI at 10; Initial Comments of Southeast Pub. Interest Orgs., at 45-48 ("Southeast PIOs"); Comments of the People of Ill. by Ill. OAG, at 11-12 (Illinois AG).

[18] Clara Hudson, *Energy Secretary Says Data-Center Boom Will Drive Down Power Costs*, Wall Street Journal (Dec. 2, 2025) (quoting DOE Sec. Wright).

and other contractual devices can protect against a situation where transmission facilities are built or upgraded to accommodate a new large load that ultimately does not materialize.[19]

Requiring large loads to pay for system costs, coupled (when necessary) with customer-protection options, brings down the overall system costs for all customers because they pay their proportionate share.[20] This can be understood by examining how transmission rates are calculated. Transmission rates are determined using a simple equation that takes the transmission owner's revenue requirement (*i.e.*, total system cost) and dividing it by its total peak load for a particular year (*i.e.*, total system load):

Transmission rate = (Total system cost)/(total load served)

This determines the transmission rate that is charged per MW or MWh of service used. Thus, as more load is added to the system, the denominator of that equation increases, causing the rate to decrease as the cost of the overall system cost is spread among a larger system load. And large load customers pick up a proportionately higher share of the costs because they make up a larger share of the system. Even as the costs to serve that load are added to the numerator, those costs would need to be substantial to outweigh the impact of adding the large load to the denominator of the rate equation.

[19] *See e.g.,* EEI Comments at 12-13. The Commission's "higher of" pricing policy is an additional available tool. *See e.g.*, *PECO Energy Co.,* 193 FERC ¶ 61,148 (2025), Chang at P 5 (concurring).

[20] Comments of U.S. Chamber of Com., at 5 ("USCC") ("[B]ut large loads are committed to paying their full cost of service for the energy and infrastructure supporting the electric service they require. Ultimately, large load interconnections should result in lower, rather than elevated, electricity rates for all other customers.").

B. No Evidence Supports Claims that "Network Upgrades" Associated with Large Loads Are Less Beneficial than Other Network Upgrades

Some commenters argue that network upgrades required to support the interconnection of large loads do not benefit the rest of the transmission system. For example, the Public Interest Organizations ("PIOs") argue that "large loads are the *sole* beneficiaries of the network upgrades required for their interconnection; neither the new large loads nor the network upgrades required to serve them provide significant benefits to the broader grid or other ratepayers."[21] This claim is incorrect on its face. Under existing Commission policy and precedent, if a facility has a *sole* beneficiary, it is classified as a Direct Assignment Facility ("DAF"),[22] not a network upgrade and the costs are solely allocated to that beneficiary.[23]

In contrast, network upgrades are "integrated with and support the … overall Transmission System for the general benefit of all users of such Transmission System."[24] By their very definition, they benefit the entire system, akin to a widened highway connecting busy commercial regions. Though some commenters argue that network upgrades necessary to interconnect new large loads are somehow different and do not broadly benefit users of the transmission system, these claims lack any meaningful evidentiary support (and definitely lack the level of evidentiary support required to change decades of Commission precedent to the contrary).

---

[21] PIOs at 32-33 (emphasis added).

[22] The *pro forma* OATT, Section 1.11 defines DAF as "Facilities or portions of facilities that are constructed by the Transmission Provider for the sole use/benefit of a particular Transmission Customer requesting service under the Tariff. Direct Assignment Facilities shall be specified in the Service Agreement that governs service to the Transmission Customer and shall be subject to Commission approval."

[23] Order No. 890-B, Pro Forma OATT at 1.11 ("Direct Assignment Facilities: Facilities or portions of facilities that are constructed by the Transmission Provider for the sole use/benefit of a particular Transmission Customer requesting service under the Tariff. Direct Assignment Facilities shall be specified in the Service Agreement that governs service to the Transmission Customer and shall be subject to Commission approval.").

[24] *Id.* at § 1.27, OATT Definitions (defining Network Upgrades).

The PIOs include a table of PJM upgrades "driven by data center loads" that they assert supports their claims.[25] As an initial matter, a handful of cherry-picked projects in one zone in one region is not sufficient to demonstrate that a longstanding, nationwide cost-allocation methodology is not just and reasonable.[26] In addition, even a cursory review of the table raises several questions. For example, in reviewing the data "Sources" cited by the PIOs, there does not appear to be any support to the claim that the facilities benefit only a single user. Just the opposite is true; in several instances, the source document indicates that the facilities provide benefits to the system rather than a sole user.[27]

In sum, upon scrutiny, the PIOs' table and list of "Sources" does not appear to provide evidentiary support to PIOs' claims.

IV. ALLOCATING TRANSMISSION SERVICE COSTS ON A NET BASIS WILL ADVERSELY IMPACT AFFORDABILITY AND IS UNNECESSARY

Adopting a default rule that allocates the costs of transmission service for co-located or hybrid large loads based on net injection/withdrawal rights will create adverse cost impacts for other customers and is not necessary to achieve the goals of the DOE ANOPR. EEI members support the efficient build-out of the transmission system that includes accounting for actual system impacts of co-location and hybrid arrangements.[28] The proponents of having large load

---

[25] PIOs at 33.

[26] *See Kentucky Pub. Serv. Comm'n & Att'y Gen. of the Commonwealth of Kentucky*, 193 FERC ¶ 61,110, at P 57 (2025) (holding that "it is inappropriate to draw broad conclusions about a mismatch between costs and benefits based on a review of a small selection of transmission projects").

[27] For example, for one of the facilities identified, the Kraken Loop, the cited Source document states: "The loop provides additional north to south 500 kV backbone reinforcement and expands the 500 kV backbone further to the east in an area where load growth is observed. This project also alleviates stability and operational constraints in the area." PJM, Reliability Analysis Report 2024 RTEP Window 1, 56 (Feb. 10, 2025). *See also id.* at 32-33, which mentioned that another PIOs-listed project, the Marley Neck Substation, "provides operational flexibility and increases the resiliency of the currently tapped 115 kV circuits as well as increasing reactive support to downtown 115 kV system."

[28] EEI at 17-18.

customers pay for retail transmission service on a net load (withdrawal right) basis argue that a "gross load" approach violates cost causation[29] or usage[30] principles. This reasoning is incorrect, because it treats only a portion of the load as reliant on the transmission system, even though the entire arrangement is connected to and reliant on the broader system. As one example, there is a possibility that the generation component of a hybrid facility becomes unavailable, and the full load (*i.e.*, without netting) looks to non-co-located resources to be served. As a result, they use and benefit from the system and therefore should pay for their respective use of and benefit from the system.[31]

Commenters that argue for cost-allocation on a net load basis fail to grapple with the significant cost-shifts to everyday customers that would be created by establishing that as a default rule. They also fail to address the significant Commission precedent that supports requiring all network loads to pay for their full cost of the transmission system.[32] Moreover, commenters ignore the fact that it may be impossible to ensure that hybrid or co-located load will ultimately use the system in the limited fashion suggested in their netting proposals.[33]

---

[29] *See e.g.*, Google at 12.

[30] *See e.g.*, Supporting Comments of Constellation Energy Generation, LLC, at 33 & n.98 ("Constellation"); Google at 12.

[31] *See Ill. Com. Comm'n v. FERC*, 576 F.3d 470, 476-77 (7th Cir. 2009) (holding that the principle of cost causation requires the transmission customer's benefits to be "roughly commensurate" with the costs allocated to them and that "[t]o the extent that a utility benefits from the costs of new facilities, it may be said to have 'caused' a part of those costs to be incurred . . . .").

[32] Constellation claims that the Commission "already unanimously rejected efforts by Exelon to 'clarify' the PJM Tariff to change the definition of 'Network Load' to require all new load to be NITS customers" and notes that no party sought rehearing. But Constellation admits that this finding was not substantive and was based only on Exelon's lack of authority to revise PJM's OATT. Constellation at 35 (citation omitted).

[33] *See e.g.*, Constellation at 13 (noting that it is not possible to combine studies of load and generation because you must account for the fact that generators or load can trip the system).

Some commenters argue in favor of net load billing based on existing RTO programs;[34] however, in doing so, they ignore the significant differences between existing behind-the-meter programs and new large load interconnections. RTO or ISO transmission netting programs are largely geared to wholesale customers, are limited in scope, and are *exceptions* to the rule, not widely followed policies. For example, PJM's wholesale BTMG program is capped at 3,000 MW for the entire PJM region.[35] And while these behind-the-meter models may be used in discrete settings in some regions, they are not followed nationwide and raise undue discrimination concerns due to cost shifts.[36] Behind the meter programs have not been applied to generators hundreds of MW in size, where the cost-shifting impacts of netting can be far more extreme.

An instructive parallel can be found in state net metering programs. California ratepayers have felt the impacts of net metering most profoundly; a 2024 analysis indicated that net metering was shifting $8.5 billion in costs *annually*.[37] A much less populated state, Maine, adopted net metering both for individual and community solar customers with problematic results, that led to the legislature terminating the program.[38] The affordability impacts of allowing generators and load to net, as if they do not rely on the transmission system, are only now being understood.

[34] *See, e.g.*, Constellation at 33-34 (citing the PJM BTMG program and ISO-NE Regional Network Service netting programs).

[35] *PJM Interconnection, L.L.C.,* 107 FERC ¶ 61,113 (2004) (non-retail BTMG program limited to 3,000 MW across entire PJM region); PJM Manual 14D: Generator Operational Requirements, App. A: Behind the Meter Generation Bus. Rules (limited to behind-the-meter generation that is below 10 MW).

[36] *See e.g.*, *ISO New England Inc.*, 178 FERC ¶ 61,086, at PP 1, 3 (2022) (Christie, Comm'r, concurring) (raising concerns that not requiring reconstitution of load served by behind-the-meter generation could arbitrarily and discriminatorily shift transmission costs to other Network Customers).

[37] Fact Sheet, Public Advocates Office of California (Aug. 22, 2024). The California PUC revamped net metering, but many retail customers are grandparented into a full or nearly full netting scenario that includes the "netting" of transmission service.

[38] LD 1777, An Act to Reduce Costs and Increase Customer Protections for the State's Net Energy Billing Program. The new law's Press Release explained that the Maine Office of the Public Advocate had long raised concerns about the cost shifts associated with Maine's expanded net energy billing program, which were expected to top $234 million in 2025 alone.

Regulators must take care to avoid exacerbating these harmful cost shifts, especially during a time when electricity rate pressures are affecting everyday Americans. The fact that many states, other than just California and Maine, have scaled back net metering compensation reflects this trend.[39]

EEI's recommended approach—a default cost-allocation rule based on gross load for both transmission service and ancillary services—is the measured, most consumer-protective approach.

V. THE COMMISSION DOES NOT NEED TO EXPAND ITS JURISDICTION TO ADVANCE LARGE LOAD INTERCONNECTIONS

Most commenters support the Commission achieving the DOE ANOPR goals through cooperative federalism, without upending the existing jurisdictional paradigm.[40] Proponents of jurisdictional expansion do not meaningfully bolster DOE's position, and their arguments reveal significant legal and practical concerns. One of the primary proponents of expanding Commission jurisdiction, Vistra, states that "*Access to power* is becoming the limiting element for data center development."[41] But interconnection service for large loads provides *no* access to power.[42] Providing power to end use customers, as well as the development of new generation, is squarely within the jurisdiction of the states. This highlights the problems with any claims that the Commission should expand its jurisdiction and dictate national rules to interconnect large loads.[43]

---

[39] A thesis paper by Yena Suh, *Evaluating the Impact of Reduced Compensation Structures on Residential Solar Net Metering* (May 1, 2025), indicates that the states that have reduced net metering compensation includes Arkansas; Georgia; Hawaii; Illinois; Indiana; Kansas, Kentucky, Louisiana; Massachusetts; North Carolina; Ohio; Oklahoma; Rhode Island; South Carolina; Utah; and Vermont.

[40] *See supra* footnote 4.

[41] Vistra at 2 (emphasis added).

[42] *See* North Carolina UC Staff at 3 ("The primary impediment to the electric industry serving large loads is having sufficient reliable energy. Because federal jurisdiction does not extend to facilities used for the generation of electric energy, the rules envisioned by the ANOPR cannot reach the heart of the problem they wish to address.").

[43] These issues are particularly notable in regions where resource adequacy entirely rests on state integrated planning decisions.

The Commission will not solve the problem on its own. Rather, the far better approach is for the Commission to collaborate with the states to advance this national imperative.

A. The Commission Can Achieve Its Goals Without Impacting the Existing Jurisdictional Paradigm and Disrupting Existing Programs That Are Working.

Given the speed with which many states and utilities have adopted large load policies and programs, it would be counterproductive for the Commission to push the pause button and spend months or years developing Commission-jurisdictional uniform large load interconnection procedures. NARUC has pledged to explore consensus solutions for the Commission's consideration that will help meet national goals for large load interconnection, while avoiding disputes over jurisdiction that would impede achieving these shared goals.[44] EEI agrees with NARUC that "[w]orking together, under the concept of cooperative federalism, will lead to optimal solutions."[45] Indeed, cooperative federalism is the appropriate approach because large load interconnections necessarily touch both federal and state responsibilities. Any new assertion of Commission jurisdiction to large load interconnection service will raise innumerable questions, such as who would be responsible for serving the load or maintaining reliability and resource adequacy over time.[46] Jurisdictional expansion likely will lead to appellate litigation,[47] and even

---

[44] NARUC at 6.

[45] *Id.*

[46] *See* OMS at 6; *Indep. Mkt. Monitor for PJM v. PJM Interconnection, L.L.C.*, Docket No. EL26-30 (filed Nov. 23, 2025) (asking the Commission to find that PJM has the authority to add large new data center loads only when they can be served reliably as defined both by transmission and capacity adequacy). *See also* Motion to Intervene and Comments Az. Pub. Serv. Co., at 4-6 ("APS") (identifying almost a dozen questions relating largely to possible jurisdictional changes).

[47] *E.g.*, Talen at 1, 3-5 (Talen expects that there will be significant legal challenges to FERC's ability to assert jurisdiction over large load interconnections because the receipt of energy by large load is inherently tied to retail distribution and state-regulated functions; it thus asks that the Commission focus on what is within its purview to regulate under the FPA); Comments of Pennsylvania Pub. Utils. Comm'n, at 10 ("Pennsylvania PUC") (invoking the major question doctrine when noting that "[t]here is

case-by-case litigation, as several commenters question whether or not large loads even can connect directly to transmission.[48]

B. The Proponents of Jurisdictional Expansion Do Not Offer Meaningful Legal Support

1. Historic Treatment of Large Load Interconnections Cannot be Ignored Given the FPA's Savings Clause

Vistra attempts to dismiss the "savings clause" arguments raised by several commenters[49] by claiming that what really matters is what the states regulated in 1935, when Congress enacted the FPA. Relying on the Court's findings in *N.Y. v. FERC* that States could not have regulated services that did not exist, Vistra argues that because *no* retail services were unbundled in 1935, that unbundled retail interconnection service, like unbundled retail transmission service, could not have been preserved for state jurisdiction. However, this does not address that fact that that large load customers generally *are not* entitled, under state regimes, to take unbundled retail transmission service under a Commission-jurisdictional OATT, and thus, they also cannot take an "element" of such service under the same OATT.[50]

---

no clear Congressional authorization to expand FERC jurisdiction to pure load interconnection of any size").

[48] Exelon notes (at 4 n.6) that "End-use load is retail load and, typically, distribution equipment, including retail metering and disconnection and isolation devices, sits between the transmission system and the end use load regardless of the voltage of the interconnection." *See also* Virginia SCC at 5 ("Virtually all loads do not directly interconnect to the transmission system, but rather have one or more on site substations to step down the transmission voltage for delivery to the large load." (citation modified)); Pennsylvania PUC at 3-4, 9-11; Comments of Joint Consumer Advocates, at 5-6 ("PA & DE Cas") ("It is unclear how a large load or hybrid facility could directly interconnect to the transmission system without associated facilities that satisfy the Commission's seven-factor test for being distribution facilities serving retail loads."); Comments of Md. Pub. Serv. Comm'n, at 3 ("Maryland PSC") (explaining that even large load retail customers typically have a "physical connection is to the low-voltage side of a substation, and their permitting and construction are strictly state and local matters.").

[49] Vistra at 17 (footnote omitted).

[50] Vistra also argues that the Commission's assertion of jurisdiction over large load interconnections as a "practice affecting" transmission "does not imply any diminution of state authority in the areas that the FPA reserves for state jurisdiction." However, this is directly contradicted by

2. Facility-Based Jurisdictional Arguments Do Not Support a Finding of Jurisdiction Over Large Load Interconnection Service

Constellation appears to base its jurisdictional arguments on the facilities being used to provide the service. Constellation argues that "[b]ecause [a] generator's point of interconnection is FERC-jurisdictional, so too must be the load's."[51] Jurisdiction, however, is based on the functional nature of the transaction or service, as evidenced by the very existence of "wholesale distribution service." As the Commission explained in Order No. 888, "for unbundled wholesale wheeling the Commission will apply a functional test" under which the "only definitive question will be whether the entity to whom the power is delivered is a lawful wholesaler."[52] Thus, "[w]hen a local distribution facility is used in a wholesale transaction, the Commission has jurisdiction over that transaction pursuant to its wholesale jurisdiction under FPA § 201(b)(1)."[53]

VI. THERE IS NO EVIDENCE OF UNDUE DISCRIMINATION IN UTILITIES' TREATMENT OF LARGE LOAD INTERCONNECTION.

Some commenters argue that Commission action is required to address unduly discriminatory practices that are preventing large loads from connecting to the transmission system.[54] However, the record in this proceeding shows otherwise. A variety of commenters observed the lack of support for the questions raised in the ANOPR regarding potential

---

Vistra's analysis of the Ohio PUC's Data Center Tariff (DCT). In its proposed mark-up of that Tariff, Vistra fully strikes any retail transmission-related terms that have been approved by Ohio. This would arguably eliminate Ohio's jurisdiction over retail transmission service.

[51] Constellation at 8.

[52] *Promoting Wholesale Competition Through Open Access Non-Discriminatory Transmission Servs. by Pub. Utils, Recovery of Stranded Costs by Pub. Utils. & Transmitting Utils.*, Order No. 888, FERC Stats. & Regs. ¶ 31,036 at 31,981 (1996) (cross-referenced at 75 FERC ¶ 61,080), *aff'd in relevant part sub nom., Transmission Access Poly Study Grp. v. FERC,* 225 F.3d 667 (D.C. Cir. 2000), *aff'd sub nom. New York v. FERC,* 535 U.S. 1 (2002).

[53] *Detroit Edison Co. v. FERC*, 334 F.3d 48, 51 (D.C. Cir. 2003).

[54] Constellation at 17 (asserting that discriminatory practices are "surfacing today in large-load interconnections"); Vistra at 21 (asserting the "status quo is unjust, unreasonable, and unduly discriminatory and preferential").

discrimination.[55] And the near unanimous support for the Commission to respect ongoing processes and progress in the states demonstrates that such concerns are unfounded.[56] As the Maryland PSC explained, "utilities have no comparable incentive to discriminate against large load, as these customers represent valuable opportunities for new retail sales and investment."[57]

Utilities do not have "unfettered discretion" or even "significant discretion" to determine how to provide retail service to such large loads.[58] Rather, utilities are bound primarily by state law and regulation in providing retail service.[59] There is no merit to allegations that utilities are delaying the interconnection of large loads to the transmission system. There is simply no incentive to do so and in fact, as the record demonstrates, there is every incentive for utilities to work with large load customers and states to find ways to bring large loads on as quickly as reliably possible.[60] And in many states, utilities are legally obligated to serve all end-use customers that desire service.[61]

---

[55] *See* Comments of the N.Y. State Pub. Serv. Comm'n, at 3-6 ("New York PSC"); North Carolina UC Staff at 4; Southeast PIOs at 4-7; Comments of Midcontinent Indep. Sys. Operator, at 16-17 ("MISO") (noting there is no evidence of discrimination against loads); WEC at 3-4, 11-12; MISO TOs at 14-15; OPSI at 6.

[56] *See supra*, footnote 7.

[57] Maryland PSC at 4.

[58] *See* Vistra at 21; Constellation at 17.

[59] *E.g., PJM Interconnection L.L.C.,* 189 FERC ¶ 61,078 (2024).

[60] *See* North Carolina UC Staff at 4-5 (economic incentives for utilities favor interconnecting large loads); Maryland PSC at 3-4 (utilities have no comparable incentive to discriminate against large load, as these customers represent valuable opportunities for new retail sales and investment); OPSI at 3 (there is no incentive for load serving entities to discriminate among customers as they process new large load interconnection requests); MISO at 17-18 (Load is not in competition with vertically integrated utilities because load is a consumer of energy whose existence creates the need for the utility to serve).

[61] *See, e.g.*, 220 Ill. Comp. Stat. 5/8-101 (Illinois statute stating that a "public utility shall, upon reasonable notice, furnish to all persons who may apply therefor and be reasonably entitled thereto, suitable facilities and service, without discrimination and without delay"); N.J. STAT. ANN. § 48:3-3(a) ("No public utility shall provide or maintain any service that is unsafe, improper or inadequate, or withhold or refuse any service which reasonably can be demanded or furnished...."); VA. CODE ANN. § 56-234(A) ("It shall be the duty of every public utility to furnish reasonably adequate service and

The process of interconnecting retail customers is, in most instances, subject to state review and approval. Utilities must study their systems to determine the facilities necessary to interconnect and provide transmission service to large load customers based on the actual need of the system, and cost recovery in transmission rates is subject to regulatory oversight by the Commission or state. In the majority of states, utilities also must procure the energy to serve such loads.

Vistra claims that transmission owners that have unregulated generation affiliates or operate in states where large loads have the option to select a competitive supplier have a clear incentive to favor the interconnection of new large loads that agree to take electric service from their affiliated generation.[62] Vistra offers no support for this allegation. Rather, Vistra twists the record in two other proceedings to seek to support its claims. First, Vistra cites allegations made by a merchant generator in the PJM Show Cause proceeding even though no finding has been made about such allegations.[63] Such allegations are not "evidence." The second "cite" refers to a PJM filing seeking to address a decision *made by a large load customer* to move its load in front of the meter voluntarily.[64] More importantly, in both cases, the referenced utility in question has

---

facilities at reasonable and just rates to any person, firm or corporation along its lines desiring same."); Conn. Gen. Stat. § 16-20(b) ("If any public service company … unreasonably fails or refuses to furnish adequate service at reasonable rates to any person within the territorial limits within which the company has, by its charter, authority to furnish the service … and if no other specific remedy is provided in this title or in regulations adopted thereunder, the person may bring a written petition to the Public Utilities Regulatory Authority alleging the failure or refusal.").

[62] Vistra at 24.

[63] *Id*.

[64] *Id*.

no affiliated generation to even hypothetically favor.[65] Such baseless claims are not record evidence upon which the Commission can base any decision in this proceeding.

VII. THE COMMISSION SHOULD NOT MUDDY THE WATERS WITH EXTRANEOUS ISSUES

Any reforms adopted through this proceeding should be tailored around the issue presented, which was framed as limited to large load interconnections. While other reforms may be necessary to address the issues raised by large loads, the Commission should address those issues in other dockets. To avoid delays, the Commission should decline requests to use this docket to advance issues that fall outside its scope.

A. Local Transmission Planning Is Outside the Scope of these Proceedings

LS Power argues that, as part of this proceeding, the Commission should solicit comments addressing whether "transmission system changes driven by large load interconnection above 100kV should be regionally planned through independent regional planning."[66] LS Power takes the position that such changes should be.[67] This question falls well outside the scope of the topics raised and covered by the ANOPR, and opening the door to this topic will enormously complicate these proceedings—as illustrated by the hundreds of pages of briefing and arguments that have been submitted in a pending complaint on much the same notion.[68] Finally, as EEI explained in

[65] Exelon has divested its generation; PPL's affiliates that own generation do not do business in Pennsylvania or PJM.

[66] LS Power Dev., LLC Comments, at 13 ("LS Power").

[67] *Id.* at 8.

[68] *See Indus. Energy Consumers of Am. v. Avista Corp.,* Complaint of Consumers for Indep. Reg'l Transmission Planning for All FERC-Jurisdictional Transmission Facilities at 100 kV and Above, Docket No. EL25-44 (filed Dec. 19, 2024) ("*IECA v. Avista*").

response to that complaint, and reiterates here, forcing local transmission projects into regional planning procedures would only undermine efforts to timely invest in necessary infrastructure.[69]

B. Load Forecasting Reforms Are Outside the Scope of the ANOPR

A handful of commenters argue that the Commission should use the ANOPR (or other proceedings) as a vehicle to impose new nationwide rules around load forecasting.[70] EEI members appreciate the value of accurate load forecasting and are already working closely with their states and state regulators, and their partners in the ISO/RTOs, to ensure that load forecasting is being properly conducted and delivering actionable information to transmission planners. The ANOPR already contemplates reforms around study deposits and related issues that would deter speculative interconnection requests—one of the most significant challenges facing accurate load forecasting. The Commission should focus its efforts on fixing the root cause of the problem, instead of roping-in a topic that is well outside the stated scope of the ANOPR and best addressed by the regions and/or state regulators.

[69] *See IECA v. Avista,* Comments of EEI (filed Mar. 20, 2025).

[70] *See* Constellation at 19; AEU at 8; Industrial Customers at 6.

VIII. CONCLUSION

EEI appreciates the opportunity to offer these reply comments and looks forward to working with the Commission on this national priority.

Respectfully submitted,

/s/ Rachael Marsh

Rachael Marsh
Kevin Huyler
Edison Electric Institute
701 Pennsylvania Ave., N.W.
Washington, D.C. 20004
rmarsh@eei.org
khuyler@eei.org

December 5, 2025